

World in Brief: America releases terms of Iran agreement; Fed holds interest rates



Photograph: Getty Images

America released details of its 14-point [memorandum of understanding](#) with **Iran**. Terms include an end to [fighting in Lebanon](#), the creation of a \$300bn fund for Iran's "reconstruction and economic development" and a ban on it having nuclear weapons. The countries have 60 days to agree on a final deal; at the G7 summit **Donald Trump** repeatedly threatened to resume bombing Iran if one was not reached.

The **Federal Reserve** left its benchmark interest rate unchanged, at 3.5% to 3.75%, after [Kevin Warsh's](#) first policy meeting as chair. American stocks fell and two-year Treasury yields jumped on Fed projections showing that nine out of 19 officials forecast at least one rate increase later this year; Mr Warsh said he did not submit one.

Tech stocks also fell. The NASDAQ ended the day 1.34% lower as the share prices of Microsoft, Meta and Amazon slipped. SpaceX closed almost 5% lower, in the rocketry and AI firm's first decline since it began trading last week. Some analysts have warned that the hype surrounding SpaceX's [record initial public offering](#) could set investors up for underperformance.

Peru may elect its first female leader after Keiko Fujimori extended her lead ahead over her left-wing opponent, [Roberto Sánchez](#), by around 37,000 votes. Despite falling behind domestically by almost 43,000 votes, her pro-market, right-wing manifesto is popular with overseas voters. She won 76% of votes among Peruvians in America and 91% of those in Japan. The ballots are almost counted.

The **European Parliament** voted to allow countries to open “return hubs” outside EU borders. [Migrants](#) without the right to remain may be held while awaiting deportation, or detained indefinitely. The tough reforms will also allow authorities to search homes and seize personal belongings. The legislation follows public pressure on lawmakers to limit migration; its draft text was criticised by human rights groups.

The International Energy Agency said it expects the **oil market** to swing into a significant surplus in 2027, assuming the peace [deal between America and Iran](#) holds. A surge of 8m barrels per day (b/d) in supply is predicted for 2027 as trade flows normalise, far outstripping an expected 2m b/d rise in demand. The IEA said the oil glut may provide an opportunity for squeezed countries to replenish depleted stocks.

Allbirds, a former footwear brand [popular with millennials](#), changed its name to Smartbird, as part of its transformation from a shoe company to an AI-infrastructure provider. The firm appointed Nadia Carlsten as chief executive to manage the pivot, which sent shares soaring by nearly 600% when it was announced in April. Allbirds sold its footwear assets to American Exchange Group, a brand-management firm, for \$39m in March.

Figure of the day: 30,000, the annual migration to Shaoxing from elsewhere in China. [Read](#) about the draws to China’s most “liveable” city.

Kevin Warsh's first test at the Fed



Photograph: Getty Images

On Wednesday Kevin Warsh held his first policy meeting as Federal Reserve chair. Interest rates remained unchanged, although nine out of 19 Fed officials forecast at least one increase this year. Mr Warsh did not share his own projections, instead highlighting in a press conference that the Fed had cut forward guidance about future monetary policy from its noticeably shorter statement.

Mr Warsh remains something of a mystery. For most of his career he was a monetary hawk. During his confirmation hearing he argued that “inflation is a choice” for which central bankers must take responsibility. Yet to secure a nomination from Donald Trump, he softened his stance and [made the case](#) for lower rates. He has suggested that a productivity boom driven by artificial intelligence would vanquish inflation, allowing for looser policy. Many of his colleagues have questioned this unconventional argument. On Wednesday he emphasised that the central bank had entered a “new chapter”, declaring that “the recent past need not be prologue”.

The scandals of Spain's Socialists



Photograph: Alamy

On Wednesday José Luis Rodríguez Zapatero, a former prime minister of Spain, appeared in court to be questioned about suspected influence peddling. The case centres around a €53m (\$62m) bail-out by Pedro Sánchez's government of a small Venezuelan-Spanish airline during the pandemic. Mr Zapatero, an ally of Mr Sánchez, will deny allegations that he was bribed to arrange the otherwise hard-to-justify deal.

It is [not the only scandal](#) in the prime minister's circle. Two former aides have separately been charged with corruption, and his wife may also face trial for influence-peddling. Another judge is looking at the activities of a former party member accused of having tried to quash some of these probes. All involved deny wrongdoing; some ministers complain of a witch-hunt. Mr Sánchez would rather people talked about Spain's robust economic growth, or the Pope's endorsement of his welcoming immigration policy. Instead, he faces calls for a general election that polls suggest the right would win.

Britain's inflation rate unexpectedly holds steady



Photograph: Shutterstock

Data released on Wednesday showed that Britain's annual inflation rate was 2.8% in May, unchanged from April. That the rate held steady may not be enough to calm the nerves of monetary hawks. They are worried that inflation continuing to be higher than the Bank of England's 2% target will cause Britons to demand pay awards which stoke inflation further. Before the release, the bank's polling found that the public expected inflation a year hence to be 4%, up from 3.2% when polled last quarter.

Hawks may still push for a hike when the bank sets interest rates this week. However May's number is lower than the bank's forecast of 3.3%. In addition, energy prices may continue to retreat as the [Strait of Hormuz reopens](#), and the labour market is getting weaker. When the bank publishes its decision on Thursday, this will probably prove to have persuaded the majority to vote to hold the benchmark interest rate steady at 3.75%.

America's next trade tussle



Photograph: Reuters

Although America, Canada and Mexico have come together to host the World Cup, their trade negotiators are [preparing for a scrap](#). In Washington on Wednesday Mexican and American delegations will hold a second day of talks on extending their trade deal. Donald Trump signed it during his first term, and it runs until 2036. So why now? Under the terms, the three countries have until July 1st to extend it for another 16 years. If they miss that deadline, the deal will be subject to annual reviews. Mr Trump has said he will not agree to a renewal.

Wednesday's discussions are an opportunity for the parties to adjust the terms. America and Mexico discussed rules of origin for industrial goods in May; this round will focus more on agriculture. (Canada, for now, has received less attention.) Mr Trump is trying to extract concessions on security as well as trade. A simple resolution is unlikely.

Data bite: Ukraine's deep-strike campaign



Photograph:

Ukraine's campaign of long-range strikes inside Russia [is intensifying](#). This year, at the current pace, Ukrainian forces are on track to execute more than 800 deep strikes—defined as attacks more than 100km from the border. In 2025 they completed 685. The campaign is also reaching more of Russia's critical infrastructure. Last year over a third of strategic sites, including military facilities, airports and energy assets, lay within 5km of a reported strike, up from almost none in 2022. The strikes appear to be taking a toll. Russian oil-refinery output has fallen, fuel exports have been restricted and fossil-fuel revenues have lagged behind what oil prices alone would predict.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which rebellious song was Alice Cooper's greatest hit?

Tuesday: What title is given to the chief adviser to a ruler in the Game of Thrones series?

My work is a game, a very serious game.

M.C. Escher